OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

I. 2. b. 7.

AUSTRIA

ARCHIVES - RÉFÉRENCES
— DOC' PRÊTÉ —
RETOUR BUREAU 706

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MAY 1968

BASIC STATISTICS OF AUSTRIA

THE LAND

Area (thousand km²)	84
Agricultural area (thousand km²)	40
Exploited forest area (thousand km²)	32
Major cities, March 1961 (thousands of inhabitants):	
Vienna	1 627
Graz	237
Linz	196
Salzbourg	108
Innsbruck	101

THE PEOPLE

Population 1966	7 312 996
per km²	87
Net natural increase in population, annual average 1964-1966	39 183
per 1 000 inhabitants	5.4
Net immigration, annual average 1963-1965	844
Total employment[1], monthly average 1967	2 359 600
in industry	583 400

PRODUCTION

Gross national product, 1967 (Sch. billion)	277
per head (US $)	1 468
Gross fixed investment, average 1965-67	
per cent of GNP	26
per head (US $)	355
Industrial origin of GNP at market prices, 1967 (per cent):	
Agriculture	8
Industry	39
Construction	11
Services	42
Home food production 1966 (per cent of total food availability)	80

THE GOVERNMENT

Public consumption, 1967 (per cent of GNP)	15
General Government current revenue, 1965 (per cent of GNP)	37
Federal Government debt, end 1965 (per cent of Federal Government revenue)	53
Composition of Federal Parliament May 1966:	
Austrian People's Party	85
Socialist Party	74
Freedom Party	6
Last election: March 1966	
Next election: 1970	

LIVING STANDARDS

Calories per head, per day 1965-1966	2 961
Weekly gross earnings of industrial workers in Vienna, 1967 (Sch.)	855
Food expenditure in 1965 in per cent of total expenditure in worker household	39
Number of passenger cars in use, end 1966 (per 1 000 inhabitants)	120
Number of telephones, end 1966 (per 1 000 inhabitants)	150
Number of radio sets, end 1966 (per 1 000 inhabitants)	310
Number of television sets, end 1966 (per 1 000 inhabitants)	120

FOREIGN TRADE

Exports:	
Exports of goods and services 1965-1967 (per cent of GNP)	26
Exports, 1967 (per cent of total merchandise exports):	
Food, tobacco, beverages	6
Raw materials and energy	14
Chemicals	6
Machinery and transport equipment	21
Other finished and semi-manufactured products	53
Imports:	
Imports of goods and services 1965-1967 (per cent of GNP) average	27
Imports, 1966 (per cent of total merchandise imports):	
Food, tobacco, beverages	10
Raw materials and energy	17
Chemicals	10
Machinery and transport equipment	31
Other finished and semi-manufactured products	32

THE CURRENCY

Monetary unit: Schilling.

Currency units per US dollar: 26.

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1. Wage and salary earners.

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AUSTRIA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

This document was approved
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INTRODUCTION

The growth of activity and output weakened substantially in 1967. The deterioration of business conditions in the economies of certain important trading partners strongly contributed to this. The impact on commodity exports was amply offset by a sharp rise in shipments to other markets but there were considerable adverse effects on the psychological climate and business conditions in Austria. Demand management policy was appropriately adjusted to counter these influences and domestic demand continued rising albeit at a much lower rate than previously. An expansionary budget has been adopted also for the current year with favourable effects on demand and activity. But the trend of domestic demand may not strengthen much unless the economic recovery in certain large neighbouring countries turns out strong and continuous. The underlying trend of prices has continued relatively stable over the past year and the rise of labour costs has slowed down. The upturn of demand and activity should not entail any marked steepening of the cost/price rise in the current year. The deficit on the current balance of payments, strongly declining in 1967, will probably increase. But borrowing abroad is planned to continue on a high level and the official external reserve position is likely to remain highly comfortable.

I TRENDS IN 1967

While various structural difficulties continued to hamper the growth of the economy in 1967 cyclical factors were mainly responsible for the marked slowdown of economic growth. The expansion of domestic demand and activity outside agriculture seems to have lost strength as the year went on. This trend was interrupted towards the end of the year, probably due largely to the improvement of business conditions in certain foreign countries and to anticipations of the increase in indirect taxation in February 1968. The slack did not affect strongly labour market conditions but entailed a fairly marked moderation of the wage rise. In some fields prices also developed in a somewhat more stable manner and the previous trend towards an increasing deficit on the current balance of payments was reversed.

Demand and output

The growth of domestic demand fell from 6 per cent in 1966 to 1.6 per cent in 1967 and without the stimulus provided by exports and the expansionary demand management policy, Austria might have experienced her first post-war recession. The weakening of demand was particularly pronounced in fixed investments. Business investment plans drawn up in late 1966 were adversely affected by the growing tightness of money and credit markets and shrinking profit margins. In the course of 1967 these impediments diminished, but the size of the downturn in the German economy was becoming evident and investment plans were revised downward. Real fixed asset formation in industry fell by more than one tenth, with most of the drop occurring in the private sector. The building industry cut back its investment by nearly one third. But increased Federal spending for building and equipment—the latter largely for the Federal railroads and postal services—prevented a decline in total fixed asset formation from 1966 to 1967. Investment by the Länder and Communes seems to have continued to grow.

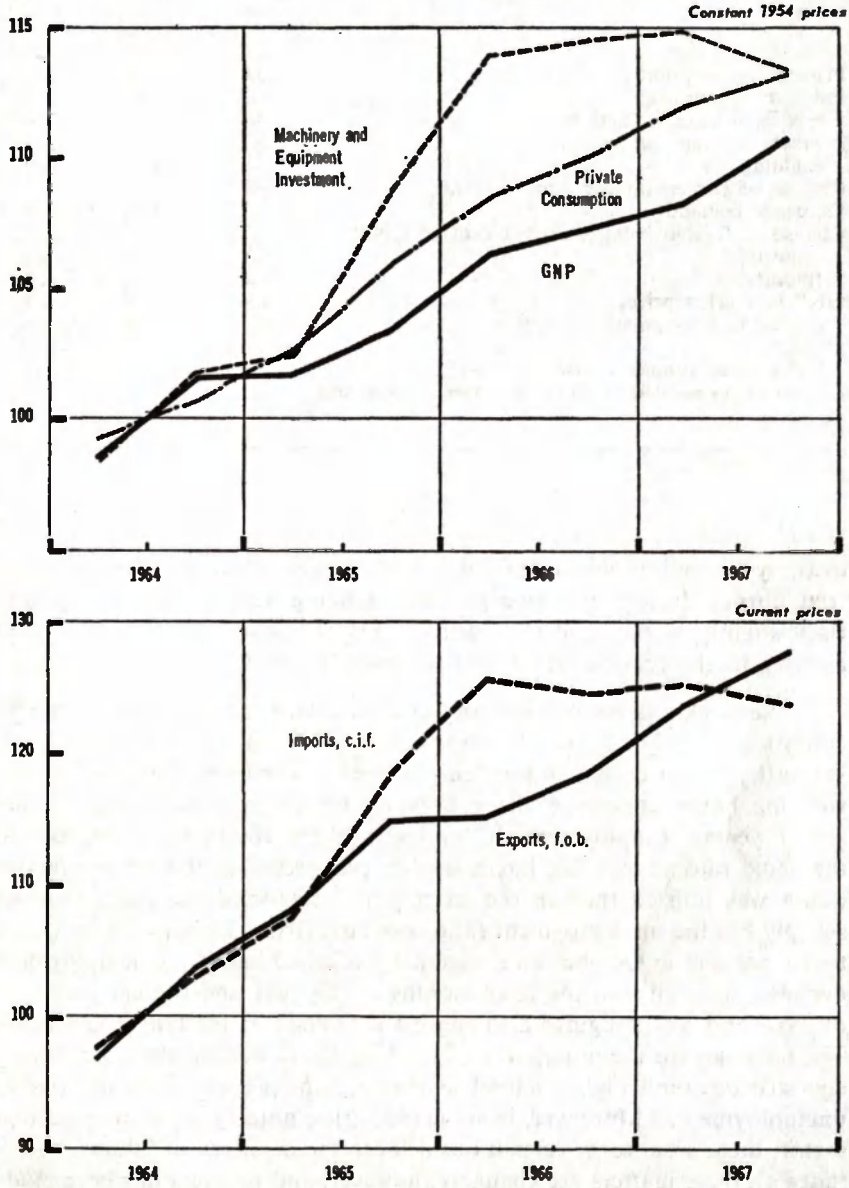
Stock building activity also influenced the picture. Stock accumulation ceased or gave way to stock depletion in many sectors, with the notable exception of agriculture, where the good harvest entailed heavy inventory accumulation.

Employment declined only moderately and the wage rise did not slow down until the second half of last year. The effect of this on disposable incomes was partly compensated by tax cuts. Government transfers to household rose at the previous year's steep rate. Disposable consumer incomes therefore continued to expand at a fairly good rate, albeit a less steep one than in 1966. With the household savings ratio roughly stable this permitted a reasonably good rise in private consumption which importantly helped to maintain domestic demand.

The growth of commodity exports steepened despite a significant setback in deliveries to the German market. This eased the impact on output and activity of the weakening trend of domestic demand.

Real GNP outside agriculture rose by 1 ½ per cent from 1966 to 1967. less than one third the increase achieved from 1965 to 1966. Thanks to an excellent agricultural harvest the drop in the growth of total GNP was lass marked. Industrial production stagnated for the first time in the post-ward period, with the strongest setback occurring in the basic industries. This entailed an increase of spare capacity. The extent of the increase may not be borne out fully by the available statistics which show a drop in average capacity utilisation rates in industry by 2 per cent

Diagram 1 **GNP and Foreign Trade**
Seasonally adjusted, 1964 = 100



Sources: Main Economic Indicators OECD, Oesterreichisches Institut für Wirtschaftsforschung, Secretariat estimates.

Table 1 **Gross National Product**
Constant 1966 prices, percentage change

	1965	1966	1967
Private consumption	5.0	4.7	3.2
Public consumption	–1.2	3.6	3.0
Gross fixed asset formation	4.6	7.1	0.3
Machinery and equipment	6.1	7.6	–0.2
Building	3.7	6.4	0.9
Change of stocks[1] (in per cent of GNP)	–0.2	1.5	–0.8
Domestic demand	3.7	6.0	1.6
Change in foreign balance (in per cent of GNP)	–1.2	–1.1	0.7
Exports	6.4	6.6	5.7
Imports	11.6	10.6	2.6
GNP at market prices	2.4	4.9	2.5
of which: non-agricultural sectors	4.1	5.2	1.6

1 Including statistical errors.
Source: Oesterreichisches Institut fuer Wirtschaftsforschung.

in the year ending November 1967, hardly bigger than the drop in industrial output during the same period. Building activity appears to have risen slightly largely due to additional public spending and the trend of activity in the service sector was moderately upward.

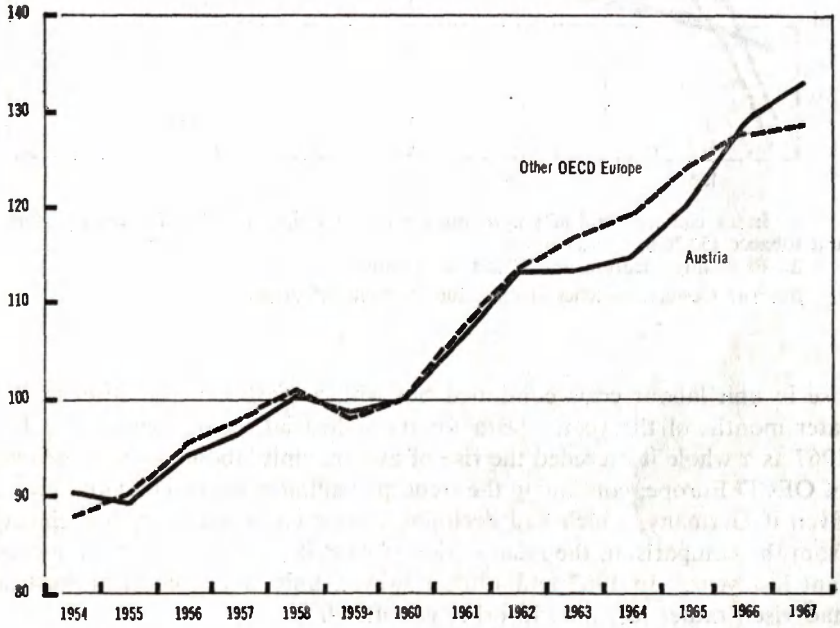
The slack has not entailed any marked deterioration of labour market conditions. Industrial employment fell by some 3 ½ per cent during 1967, with a 1 per cent decline in total employment. The drop of average weekly working hours appears to have been hardly bigger than in many other recent years. Employment of foreign workers continued to expand at the same rate as in 1966, but a smaller proportion of the foreign labour quota was utilized than in the latter year. Reported vacancies dropped sharply but the unemployment ratio rose little (from 2.2 per cent in March to 3.1 per cent in October on a seasonally adjusted basis). Unemployment declined somewhat in the later months of the year and the early months of 1968 and recent figures also suggest a reversal of the fall in vacancies. The tendency for the population of working age to decline, due to changing age structure and higher school leaving age, helped to check the rise of unemployment. Moreover, in some industries, notably in the nationalised sector, there seem to be certain obstacles to the dismissal of labour. Attitudes on these matters are changing, however, and progress has been made over the past year towards a more active labour market policy facilitating labour mobility.

Costs and Prices

The wage rise, steep in the first half of last year, slowed down markedly in the autumn. Data relating to industrial workers in the Vienna region show earnings 4.4 per cent up on the year in October/November and a slightly bigger rise for wage rates. This is half the rate of increase recorded earlier and contrasts with the experience in most years since the mid-fifties which saw earnings running ahead of rates. As noted below (Page 21-22) the picture was influenced by an understanding reached last year between the labour market organisations and the authorities which shifted part of the burden of rising labour costs from the entrepreneur to the government budgets.

The productivity advance slowed down as capacity utilization fell without corresponding adjustments being made in employment. The

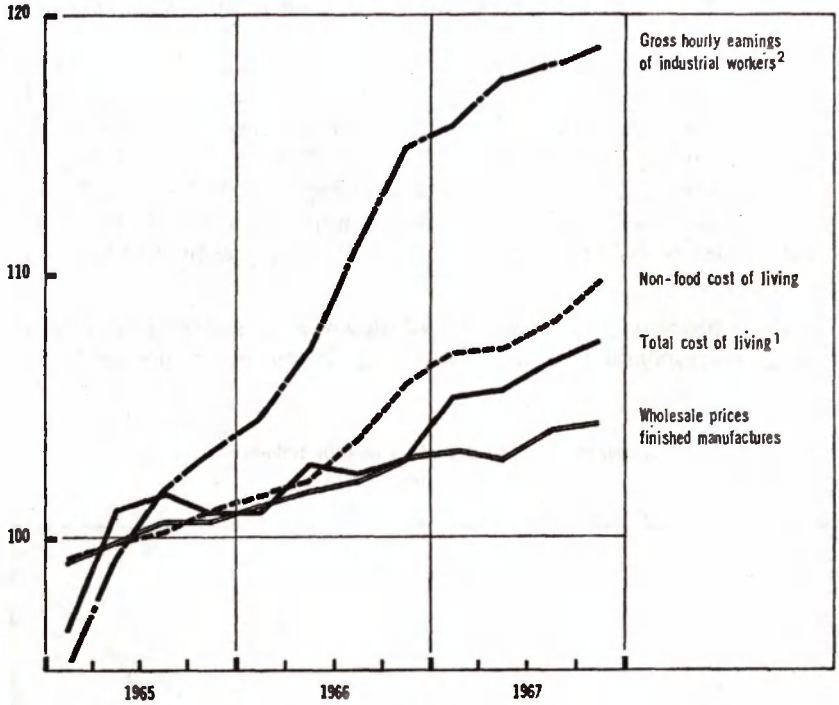
Diagram 2 **Unit Labour Costs in Industry**
Indices, 1960 = 100



Source: National statistics.

NOTE The diagram shows the movement of the wage and Salary Bill in industry, expressed in US dollars, relative to the change in the industrial production index. " Other OECD Europe " is an average of the EEC countries, the United Kingdom and the Scandinavian countries weighted by their industrial production in 1960. For some of these countries the basic data relate to manufacturing industry only.

Diagram 3 **Wages and Prices**
Indices, 1965 = 100



1 Index changed in 1967; new index giving a weight of 39 % for foods, drinks and tobacco (54 % in former index).
2 Excluding vacation and Christmas Bonuses.
Source: Oesterreichisches Institut für Wirtschaftsforschung.

rise in unit labour costs continued but with a marked moderation in the later months of the year. Data for the industrial sector suggest that for 1967 as a whole it exceeded the rise of average unit labour costs in the rest of OECD Europe, continuing the trend prevailing in the two previous years. Even if Germany, which had declining labour costs last year, is excluded from the comparison, the relative rise of Austrian labour costs was important last year. In 1963 and 1964, however, unit labour costs in Austria had risen rather less than in other countries[1].

1 The inclusion of employers' contributions to social security may change the picture shown in Diagram 2 somewhat, as these contributions appear to have risen relatively fast in Austria in recent years. The comparability of the figures underlying Diagram 2 is also impaired by the fact that they relate to manufacturing rather than total industry in some of the countries included.

The rise of wholesale prices has slowed down over the past year and building prices were virtually unchanged between the spring of 1967 and the early months of 1968. The cost of living went up by 4 per cent from 1966 to 1967, as against a rise by 2.2 per cent from 1965 to 1966. The acceleration was largely due to the reduction of price subsidies for various foods in January 1967 and the underlying trend of consumer prices does not appear to have changed much. A new index, with a much lower weight for foods and higher weight for services than the former index, was introduced in January 1967. It shows a 2 per cent rise during the year ending January 1968, which corresponded roughly to the increase recorded in the old index during the year 1966. The price rise steepened in services but clearly moderated in all other non-food components of the index. Food prices rose slightly over the past year while declining slightly during 1966.

The balance of payments

The flat development of domestic demand in 1967 was associated with a strong improvement of the balance of payments. The deficit on current account fell by nearly one half as the growth of imports ceased and the rise of exports steepened. The long-term capital account, roughly in balance in 1966, showed a large net inflow due to big public and private borrowing abroad. This amply offset the current accounts deficit so that the basic balance swung into a surplus of $ 138 million, from a deficit of $ 204 million in the previous year. With errors and omissions producing a small net inflow and short-term capital transactions roughly in balance, this meant a big increase in official gold and foreign exchange reserves.

Commodity imports, which had risen at a rate of 11 per cent in 1966 fell slightly last year. Food and basic material imports showed substantial drops reflecting the good agricultural harvest and the cessation of stock building activity. Machinery and equipment imports declined slightly in step with business fixed investment, whereas the upward trend in imports of finished manufactures remained fairly strong. In the later months of the year imports turned up vigorously, partly in anticipation of the higher import equalisation tax taking effect in February 1968.

The German recession entailed an 11 per cent fall of commodity exports to Germany, a somewhat larger reduction than suffered by the exports of other EFTA member countries combined. But the rise of Austrian exports to non-German markets steepened strongly and amply offset losses in the German market. Improved facilities for export finance aided importantly in stepping up exports to some markets, notably in

Table 2 **Exports and Imports**
Percentage change

	Exports		Imports	
	1966	1967	1966	1967
Food, drinks, tobacco	–9.2	34.0	4.1	–10.7
Basic materials and semi-finished goods	4.2	2.1	10.4	–3.5
Mineral fuels	8.2	0.5	6.1	–1.9
Chemicals	17.7	17.7	12.5	10.5
Machinery and equipment	4.2	12.3	12.2	–0.5
Other finished manufactures	11.8	9.4	21.3	12.2
Total	5.2	7.4	10.8	–0.8

Source: Appendix Table F.

Eastern Europe. Elimination of customs duties in intra-EFTA trade and abolition of the surcharge on UK imports also acted as a stimulus. Furthermore Austria appears to have increased her share of the EFTA market relative to her EFTA partners.

Net invisible earnings declined sharply. Receipts from German tourists fell in line with their lower travel expenditure abroad and the already strong rise of Austrian travel abroad steepened despite the weaker trend of disposable incomes. This caused net earnings from tourism to decline. Heavy borrowing abroad entailed larger net payments on investment income. Cessation of German indemnification payments was largely responsible for the decline of net transfer receipts.

A swing by $ 151 million from net repayment to net borrowing on public account was an important element in the large inward movement of long-term capital last year. It was mainly in response to the needs arising out of the Federal budget deficit. Private net borrowing trebled and exceeded public borrowing despite the slack in the economy. This was mainly for the financing of certain projects too large to be easily accommodated by domestic banks. Moreover, in certain foreign markets bank credit was available on relatively favourable terms. In other long-term capital transactions the net outflow declined. The rising trend of foreign direct investment in Austria was reversed, probably influenced by the poor conjuncture. Net liquidations of foreign-held Austrian bonds increased, far offsetting the rise of foreign purchases of Austrian equities and Austrian portfolio investment abroad again went up strongly, with a further shift from bonds into equities.

Non-monetary short-term capital and errors and omissions produced a net inflow which was partly offset by a net outflow of short-term banking funds. The latter, which reflected the easing of monetary policy and the relative attractiveness of foreign money markets, followed upon fairly large net repatriations of bank money during the period of monetary tightening in the previous year. The balance on official settlements improved by $ 156 million. This was largely in the form of increased foreign exchange reserves, official gold holdings remained unchanged and the net IMF position deteriorated slightly.

Table 3 The Balance of Payments
$ million

	1965	1966	1967
Trade balance fob/fob	–472	–596	–429
Exports	1 579	1 676	1 797
Imports	2 051	2 272	2 226
Services, net	374	344	260
Foreign travel	420	424	396
receipts	561	595	615
expenditure	–141	–171	–219
Investment income, net	–21	–23	–34
Other services, net	–25	–57	–102
Transfers, net	53	58	50
Current balance	–45	–194	–119
Long-term capital, net	–27	–10	257
Official, net	–20	–30	121
Private, net	–7	20	136
Basic balance	–72	–204	138
Non-monetary short-term capital	6	26	20
Errors and omissions	43	67	9
Balance on non-monetary transactions	–23	–111	167
Private monetary institutions, short-term capital	16	107	–11
Balance on official settlements (+ = increase)	–7	–4	156
Gold	100	1	—
IMF position	—	30	–14
Other	–107	–35	170

Source : Oesterreichische Nationalbank, Direct communication.

II ECONOMIC POLICY

Demand management policy has been progressively eased over the past year. Both fiscal and monetary instruments were put to work and incomes policy was formulated with a view to these to a larger extent than previously. A satisfactory policy mix was thus secured. The timing was also reasonably good; corrective measures were partly announced at an early stage of the slack. The expansionary policies succeeded in preventing a decline in total gross fixed asset formation in the economy and checked the decline in the growth of private consumption.

Budget policy

Last year's Federal budget which had the announced aim of being neutral in its effect on total demand while stimulating investment had foreseen a financial surplus of S 1.3 billion, twice the surplus resulting in 1966. As it turned out the budget meant a large shift in an expansionary direction with a financial deficit of some $ 1 ½ billion. The wide discrepancy between actual and planned outcome was due largely to the behaviour of revenue. The revenue estimates had been based on a 4 per cent growth of real GNP and had not allowed for the tax cuts put into effect last October. For these reasons tax receipts fell short of the estimates by a net amount of S 2.4 billion. The shortfall of revenue due to the slowdown of economic growth was much larger than the revenue impact of the tax cuts. The latter took the form partly of more favourable tax allowances put into effect at the beginning of the year, partly of lower rates of income and wages taxation taking force in October. The impact of these changes on total (Federal and other public) tax revenue corresponded to some 0.8 per cent of private consumption.

Moreover, expenditure exceeded the estimates by some S 1 billion, largely because pay adjustments in the Federal service had not been taken into full account and the good agricultural harvest entailed additional subsidy payments for farmers. To counter the decline in private investment it was decided to raise Federal gross investment and capital transfers as planned despite the shortfall of revenue. These types of spending, virtually stable in the previous year, were therefore stepped up strongly.

The 1968 budget appears to provide for a further strong stimulus to economic activity. In addition to the regular budget a contingency budget has been adopted to permit additional Federal spending if further support to economic activity seemed appropriate. The contingency budget amounts

Table 4 **The Federal Budget**[1]
Sch. billion

	1964	1965	1966	1967	1967	1968[2]
	budget outcome				voted	estimate
National account basis:						
Current receipts	41.4	44.7	49.7	(51.8)	53.8	56.9
Expenditure on goods and services	17.0	18.0	19.8		21.9	24.2
Current	13.8	14.5	16.2		17.7	19.9
Capital	3.3	3.5	3.6	(4.2)	4.2	4.4
Transfers	23.1	24.2	26.7		28.5	31.3
Current	20.7	22.3	24.7		26.3	29.1
Capital, net	2.3	2.0	2.0		2.2	2.2
Net deficit on government entrepreneurial activity	2.0	2.0	2.7		2.2	3.8
Financial surplus (= net lending) or deficit (= net borrowing)	–0.7	0.5	0.6	(–1.6)	1.3	–2.4
Administrative basis:						
Revenue, except from borrowing	44.1	47.9	52.8		56.7	59.5
Expenditure	48.7	52.4	56.5		60.4	66.5
of which: debt repayment	2.0	3.5	2.7		2.9	3.0
Overall deficit	–4.6	–4.6	–3.7	–7.8	–3.7	–7.0

1 Excluding the Dwelling Construction Fund and the Fund for Agriculture.
2 Excluding the contingency budget (S 2.4 billion of which S 1.2 billion was released in March 1968).
Source: Bundesfinanzgesetz 1968, Beilage O_1.

to S 2.4 billion. One half of this was released in March, of which S 0.6 billion for Federal gross investment and S 0.4 billion for capital transfers. Since the contingency budget provides for fully elaborated projects which can be started with a minimum delay this should importantly help to maintain building activity in the months ahead. Machinery and equipment investment may be less stimulated by Federal spending than last year since Federal aid for investment in the railroads and postal services is planned to expand less than in 1967. Even if only one half of the contingency budget were to be mobilized, this together with spending foreseen in the regular Federal budget, would imply a steepening of the growth of Federal gross investment and capital transfers in the current year.

In February the general turnover tax was raised by ¼ percentage points to 5.5 per cent. At the same time import equalisation taxes were increased to 2 ¼-13 per cent, on rates varying from 1.8 to 8 ¼ per cent. Except for this and certain changes in the tax regime affecting capital market activity, tax rates and norms have been kept unchanged in the 1968 budget. But last October's tax cuts will have a full-year impact and this will partly

offset the effect on Federal revenue of the higher general turnover tax and import equalisation tax. The additional impact in the current year of the October 1967 tax cuts corresponds to 1.1 per cent of private consumption, whereas last year the tax burden on private incomes had been reduced by an amount equal to 0.8 per cent of private consumption by changes in rates and norms of direct taxation.[1] However, the higher indirect taxation this year, estimated to entail a rise of the cost of living by about 1 per cent, would roughly absorb the gains to real incomes resulting from last October's tax cuts. It is true that real consumer incomes were adversely affected last year by a reduction of price subsidies to various foods, which had a cost of living effect of some 1 per cent. But various transfer payments (pensions, child and family allowances) had been raised to compensate consumers for this.

The financial deficit of the regular 1968 Federal budget is estimated at S 2.4 billion. Including the tranche of the contingency budget released in March would raise it to S 3.6 billion. The increase by S 2 billion as compared with the deficit resulting last year corresponds closely to the size of the shift from financial surplus in 1966 to financial deficit in 1967. The 1968 revenue estimates assume a 3 per cent increase of real GNP and apparently take full account of last year's short-fall of tax receipts.

The financing of the Federal budget deficit has not given rise to problems as yet. Last year substantial resort was made to foreign borrowing in order to avoid overstraining the domestic capital market. It is planned to continue this policy in the current year and the bulk of the required foreign credit has apparently been secured. Next year the overall budget deficit would roughly double, rising to S 16 billion (5 per cent of GNP), if laws and committments affecting expenditure and tax rates and norms were to be kept unchanged. There appear to be three main reasons for this sudden marked jump of the deficit. First, debt repayments are planned to double. Second, large increases of Federal wages and salaries are envisaged and various indextied social expenditure will come up for adjustment. Third, the slack development of activity and incomes in 1967, and possibly also in the current year, seems to have been fully allowed for in estimating the size of the 1969 deficit.

1 The revenue impact of the tax changes has been estimated as follows (Sch. bill.):

	Impact in 1967			Additional impact in 1968		
	Federal	Other public	Total	Federal	Other public	Total
January 1957, change of tax norms	–0.4	–0.5	–0.9	—	—	—
October 1967, cut of direct taxes	–0.2	–0.2	–0.4	–0.9	–1.1	–2.0
February 1968, increase of indirect taxation	—	—	—	1.5	0.4	1.9
Total	–0.6	–0.7	–1.3	0.6	–0.7	–0.1

The government considers a deficit of S 16 billion too high and has recently proposed a number of tax increases and expenditure cuts. The former affect taxes on wages, incomes, property, automobiles, alcoholic beverages, tobacco and transport and are estimated to provide S 3.8 billion of additional Federal revenue in 1969. Details of the expenditure cuts, which are planned to amount to S 5 billion, had not been announced at the time of writing. It is proposed to increase certain indirect taxes in the autumn of 1968. Otherwise, these changes would be put into effect next January. They seem to imply some tightening of Federal budget policy, with a lower overall deficit than the one estimated for the current year.

This is unlikely to give rise to problems of budget financing. Nevertheless, with a view to needs arising during periods requiring an expansionary budget policy in the future, it would appear appropriate to consider ways and means by which the scope for resort to domestic sources of budget finance could be increased. Two main possibilities suggest themselves. First, the absorptive capacity of the domestic capital market could probably be increased, notably by permitting a secondary market for bonds to develop and thus stimulating the interest of the banks in government bonds (for fuller discussion of this see below page 18/19). Second, it should be possible to envisage larger resort to short-term finance of Federal budget deficits and to consider whether it would not be appropriate for the National Bank to play a more active role in budget financing. It may be noted in this context that from the point of view of monetary stability there is no difference between Federal borrowing from the National Bank and Federal borrowing from abroad providing that the foreign reserves are adequate. But borrowing from the National Bank would be short-term and could, therefore, finance only part of the budget deficit. The ceiling (S 1 billion) for National Bank credit to the Federal Government was fixed in terms of conditions as they existed in 1955, when money GNP was 60 per cent lower than at present. In the spring of last year the National Bank announced that it would raise its ceiling for open market operations from S 0.5 billion to S 1 billion and deal in paper having reached a maturity of no more than 1 year.

Monetary policy

Monetary policy, relatively tight in 1966, was substantially eased in 1967. Bank rate was reduced from 4 ½ to 4 ¼ per cent in April and to 3 ¾ per cent in October, and the rate paid on loans against collateral was lowered by a total of 1 ¼ percentage points. Minimum reserve requirements were reduced by S 1.5 billion in April and by an equal amount in October. In June the minimum duration of paper eligible as collateral

for Central Bank loans was shortened and the Bank raised ceilings for the refinance of export paper by one third. At the same time the Bank announced that it would increase its open market operations as already noted above.

These measures, aided by the swing from deficit to surplus in the balance of payments, entailed a strong increase of bank liquidity. Credit demands weakened in response to the growing slack in the economy, and a larger share of new demands was met by borrowing abroad. The expansion of bank credit, other than in mortgages, was only half as strong on the average as in 1966. It had already lost strength in the latter year, probably largely in response to the tighter liquidity position of the banks. The banks reduced their net purchases of domestic long-term bonds by one fourth.[1] Much of the new bank liquidity was channelled into money market investment abroad, notably in the Euro-Dollar market, where earning opportunities were relatively favourable.

If the banks reduced their bond purchases in a period of rising bank liquidity this seems to be partly because the domestic market does not satisfy their requirements for liquid investments. The virtual absence of a secondary market for domestic bonds may be largely responsible for this. The small size of that market is born out by the fact that the total turnover of circulating issues corresponds to about one-tenth of new issue activity in Austria as against around three-fourths in for example the Netherlands. The yield differences prevailing for comparable circulating issues in Austria also point to the underdeveloped state of the secondary market.

Table 5 **Bank Liquidity and Lending**

		1965	1966	1967
Ratio of liquid assets to deposits from non-banks[1]	End of year	36	34	38
Ratio of excess reserves to minimum reserves prescribed under the Credit Control Agreement	(per cent) —	47	43	48
Ratio of unused margins to credit ceilings	—	4.7	4.7	9.3
Lending to non-banks	Change during	14.2	14.7	9.9
Changes in holdings of fixed-interest securities	year ($ billion)	2.1	2.5	2.2
Treasury bills[2]	—	0.1	0.7	0.9
Other	—	2.0	1.8	1.4

1 Liquid assets include cash, deposits with the National Bank and foreign banks and holdings of securities immediately rediscountable or acceptable as collateral at the National Bank.
2. Excluding transactions in Treasury bills between the banks and the National Bank.
Source: Oesterreichische Nationalbank.

1 Long-term bonds, excluding Federal Treasury Bills and money market paper.

The subsidization of new as distinct from circulating issues seems to be partly responsible for this. Subscribers to new issues are able to deduct from their tax liability an amount corresponding to 15 per cent of the nominal value of the bond. The full 15 per cent must be reimbursed to the State if the bond is kept for less than seven years and two-fifths of it if it is sold within eight years thereafter. This discrimination between new and old issues severely restricts the market for the latter and the changes made in the regime last January do not importantly reduce this shortcoming. It is true that these changes meant that companies and most business enterprises are no longer elligible for tax deduction. Under last year's regime, they enjoyed tax exemptions on up to 10 per cent of profit invested in new bond issues. But at the same time the upper limit for tax exemption for personal investors and small business firms has been doubled. It is at present S 100 000, roughly twice the average annual income of persons in dependent employment. Moreover, under the new regime the tax advantage attaches to all new issues whereas earlier it was limited to issues by the public authorities and the electric power companies.

It has been an important objective of the Austrian government for several years to improve the functioning of the capital market. A well developed secondary market for bonds is a pre-condition for this. It would seem important therefore to do away with the discrimination between new and circulating issues. If it is considered necessary to retain a system of subsidization it may be possible to lower the upper limit for the tax exemption and shorten the period during which the investor must keep the bond to enjoy the tax advantage. This could help to enlarge the secondary market.

But achievement of the government aim of an efficient capital market also seems to depend on certain other adjustments, notably in the area of banking policies and practices. As far as one can judge, Austrian banks perform a lower transformation function of short-term into long-term funds than is generally true of banks in other Member-countries. The implications for the capital market are important because a large proportion of personal savings is entrusted with the banks. Thus, the rise of savings deposits has corresponded to about two-thirds of household savings in recent years as against roughly one-third in for example Sweden, and one half in Germany. Institutional investors are not important in the capital market because the social security scheme is an unfunded system and there is relatively little private insurance. The potential growth of the market therefore depends strongly on the policies and practices of the banks. It is also possible that a larger volume of private savings could be channelled into the market with publicity campaigns informing the public of the tax advantages attached to new subscriptions and the high effective yields implied.

Table 6 **New Bond Issues**
Schilling billion

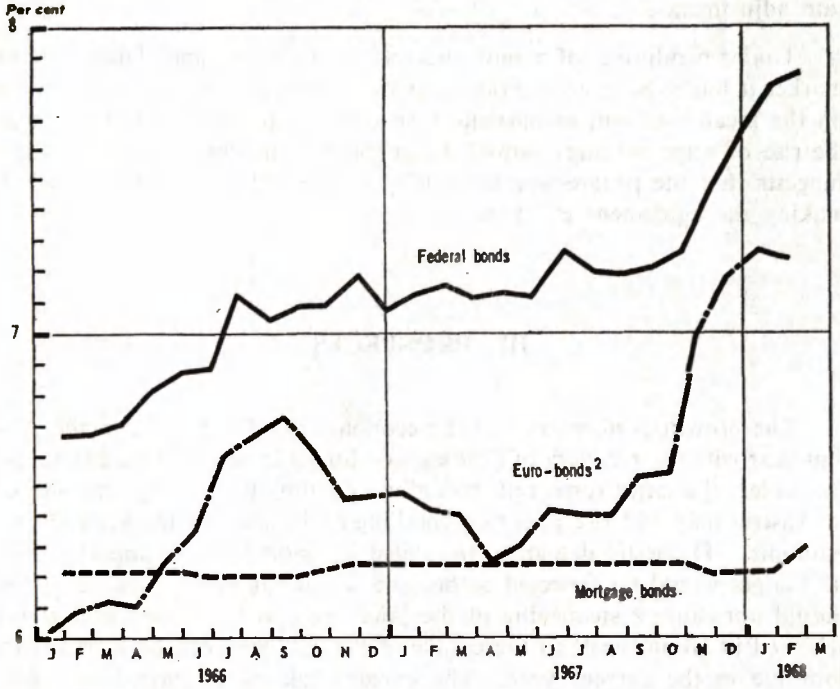
	1965	1966	1967
Total gross issues	7.21	6.14	7.60
Banks	1.77	1.88	2.41
Federal government	2.30	1.50	2.00
Other public, incl. electric power companies	2.64	2.52	2.82
Private domestic	0.50	0.12	0.26
Foreign	—	0.12	0.11
Repayments	1.70	1.64	2.42
Total net issues	5.51	4.49	5.18

Source: Oesterreichische Nationalbank.

In 1967 a larger volume of bond issue activity could be accommodated mainly because companies raised their subscriptions sharply. This was partly in anticipation of the abolition of the tax privilege for company subscriptions to new issues 1st January. Institutional investors had cut back their purchases sharply in 1966 and increased them only moderately last year. Foreign subscriptions rose but remained of marginal importance. Net liquidations of foreign held old issues increased sharply, particularly in the fourth quarter when they may have been influenced by unfounded rumours of Schilling devaluation. The bulk of the additional capital market borrowing was on behalf of the Federal government which had strongly reduced its borrowing in the previous year. New Federal issues corresponded to only about one fourth of the overall Federal budget deficit, however, Most of the remainder was financed abroad. The electric power companies, which normally account for $\frac{1}{4}$ to $\frac{1}{3}$ of total capital market borrowing reduced their issue activity last year. The volume of private issues doubled but accounted for less than 5 per cent of the total.

The increase of the capital market rate steepened strongly last autumn. The average effective yield on outstanding Federal issues reached 7.8 per cent in February 1968, 0.6 percentage points higher than in the previous autumn when the yield had been hardly higher than a year earlier. 6 per cent was maintained as the nominal yield on new public issues last year but has recently been abandoned in favour of a 6 $\frac{1}{2}$ per cent yield. The mortgage rate, in striking contrast to the upward movement of other yields, has been stable at 6.2 per cent during the past several years. Issue plans

Diagram 4 **Bond Yields**[1]



1 Effective yields on bonds circulation.
2 Average for four representative issues.
Source: Oesterreichische Länderbank and Financial Times.

announced for the current year point to a roughly unchanged volume of gross issue activity, in contrast to last year's plans which had been for a 50 per cent increase. This should help to stabilize the capital market rate.

Incomes Policy

A new approach to incomes policy was successfully made last year. An understanding was reached between the government and the monetary authorities on the one hand and the representatives of the central labour market organisations on the other, whereby the latter consented to exercise restraint in their wage and price claims in return for tax cuts and measures of monetary relaxation. This permitted last year's wage round to start in the autumn rather than in the summer. The wage claims put forward were typically smaller than those of earlier agreements and the

duration of contracts was increased in many cases. Last October's tax cuts, which were part of the bargain, only partly offset the decline in wage rate adjustments.

Under conditions of a more buoyant conjuncture and tighter labour market it might have been difficult to secure observance of the agreement on the local level and in particular on the industry level. The fact that the rise of wage earnings slowed down rather more than negotiated rates suggests that the progressive weakening of demand and activity aided in making the agreement effective.

III PROSPECTS

The growth performance of the economy should improve in the current year with the recovery of business conditions in certain EEC countries. But unless the latter turns out strong and continuous, activity and output in Austria may still rise at a rate entailing an increase of the slack in the economy. Domestic demand, stimulated by another expansionary Federal budget would be expected to become somewhat more buoyant. This should not cause a steepening of the price rise and the more stable trend achieved in labour costs in the course of the past year can be expected to continue in the current year. The current balance of payments deficit will probably increase with a resumption of the import rise and little, if any, further acceleration of the growth of exports.

Demand and Output

The outlook for fixed investment is less unfavourable than last year. The survey of investment intentions carried out last autumn pointed to a 7 per cent reduction in the value of gross fixed asset formation in industry from 1967 to 1968. This corresponds to the cuts planned for last year according to the survey taken the previous autumn. But investment plans may not be revised downwards like last year and could be revised upwards in the light of recent developments abroad. In recent months profit margins have probably improved and internal cash flows risen and conditions for external finance are more favourable than a year ago. Low capacity utilisation rates may, however, exert downard pressure on the propensity to invest. Investment plans in the building industry are much less pessimistic than last year while other sectors covered by the survey (electric power companies, rural transport and public utilities) intend to increase their capital spending roughly as in 1967. Figures in Table 4

suggest that Federal investment and investment promotion will again rise fast even assuming that the second half of the contingency budget will not be put into effect. The rise of Länder and communal investment is expected to continue at last year's relatively high rate.

Considerable uncertainty attaches to the development of stockbuilding. It can safely be assumed, however, that activity in this area will not exert as deflationary an influence as last year when the virtual cessation of inventory accumulation outside agriculture entailed a decline of total stockbuilding in the economy corresponding to 0.8 per cent of GNP. More likely, it could provide a net stimulus to growth. It is possible that stockbuilding activity will be resumed outside agriculture and this may be only partly offset by a decline of inventory accumulation in agriculture, abnormally high last year due to the good harvest.

The growth of private consumption is unlikely to steepen. The tendency for total employment to fall slightly can be expected to continue. The wage rise will probably continue at the lower rate prevailing in the second half of 1967. Last October's cuts of direct taxation will have a full-year impact in 1968 but this will be largely absorbed by the price rise entailed by the increase of indirect taxation in February. Furthermore, there is a possibility that certain indirect taxes will be raised in the autumn. The household savings ratio may not change much. Public consumption will probably expand less than last year in response to a slower rise of employment in the government sector.

These trends point to an increase of domestic demand by some 3 per cent from 1967 to 1968. With the rise of imports likely to resume and exports expanding roughly as earlier, GNP could be expected to grow at a slightly lower rate than this, which seems to entail some increase of the capacity slack in the economy. Capacity may be expanding at a rate of 3 ½-4 per cent a year. [The OECD Growth Report estimated the rate at 3.8 per cent during the second half of the 'sixties; 4.4 per cent for the productivity advance with an 0.6 per cent decline of employment]. In the years 1965-1967, GNP rose at an annual rate of about 3.3 per cent, on the average. This points to an existing slack in the economy corresponding to some 1 ½ per cent of GNP.

It seems important first and foremost to secure a recovery in business investment. Fixed investment in industry has been flat or declining in virtually every year during the 'sixties. This does not reflect simply the special problems besetting the nationalised industries[1]; in some years

1 These were discussed at some length in last year's Economic Survey.

industrial investment has hardly been more buoyant in the private than in the nationalised sector and in 1967 it was substantially weaker in the former sector.

Various measures to encourage industrial investment have recently been taken or announced. In January it was decided that S 0.2 billion of additional ERP funds would be used for large industrial credits. In February a twelve-point government programme for stepping up growth of the economy and overcoming main structural problems provided for various measures affecting industrial investment. Thus, new facilities for finance, inter alia a special industrial investment bank and a guarantee fund for small- and medium-sized enterprises are to be set up and syndicate credits will be intensified. Moreover, business concentration will be encouraged by amendment of tax regulations hampering concentration, and by the establishment of a special reorganisation fund. Finally, modern methods of industrial management will be promoted through special advisory services and a new institute for industrial promotion. The programme also stresses the need to proceed with plans for reorganisation of the nationalised industries. The remaining points concern power, transport, regional development, manpower policy, research, encouragement of competition and long-term planning of Federal investment.

Action along these lines is clearly important for the longer-term prospects of the Austrian economy, but may not influence the situation much in the current year. With a view to securing a quick recovery of business investment it may be possible to consider measures with a more immediate and direct impact. It is clearly important not to overlook the special needs of industrial investment when taking final decision on the expenditure cuts and tax increases to be effected next year. It seems desirable that monetary conditions should be kept easy in support of investment activity. Finally, it may be possible to mobilise ERP funds for investment finance to a larger extent than hitherto.

Costs and prices

The bulk of running wage contracts will come up for revision only in late 1968 or early 1969 and may therefore not influence wage developments much for the year as a whole. Claims for pay adjustments put forward in recent months seem to be for somewhat lower increases of standard rates than accorded last autumn. The demand prospects discussed above are not likely to entail any marked tightening of the labour market situation and earnings have been lagging slightly behind negotiated rates in recent months. This suggests that the rise of earnings may not

steepen much as compared with the second half of last year. The productivity advance should, however, accelerate somewhat, permitting a further improvement of profit margins.

The underlying trend of prices should not change much. But some steepening of the price rise could result due to the higher turnover and import equalization taxes introduced last February and a less outstandingly good agricultural harvest. Adjustments of public utility prices, which played some role in the price rise over the past couple of years, are not expected to be large in 1968.

The balance of payments

The tendency for the current account deficit to increase, manifesting itself in the late months of last year, will probably continue in the current year. The development of exports will depend heavily on the strength of demand in the German market. But even with buoyant German demand the export rise may not steepen from the relatively high rate reached last year. The trend of demand in other main markets may not strengthen much and it is not planned to increase facilities for export finance to the same extent as last year. Finally, the devaluation of sterling and certain other foreign currencies reduces the scope for further gain of Austrian market shares.

The demand prospects discussed above point to a reversal of last year's declining trend of imports, which was temporarily interrupted in the later months of the year by anticipations of the increase of the import equalisation tax in February. (February/March saw imports, seasonally adjusted, drop by one fifth below the inflated December/January level.) Imports will be stimulated by the devaluation of sterling and certain other foreign currencies although the higher import equalisation tax provides an important offset to this.

Net invisible earnings should start increasing again but probably not at a steep rate. The growth of German foreign travel can be expected to resume but this will be partly offset by the effect on tourist receipts of the United States travel measures and currency devaluation in certain other important tourist countries. Austrian tourist expenditure abroad is likely to continue rising fast and the further planned increase in borrowing abroad will entail large additional payments on investment income. Net transfer receipts are expected to change little.

Net imports of long-term capital can be expected to remain high. The Government again plans to take up large amounts of foreign credit and private borrowing may continue on a high level. Changes in portfolio and direct investment will probably not be large enough to influence the overall position on long-term capital account much. All in all, the net inflow of long-term capital may be no smaller than last year. The surplus on basic balance may therefore decline roughly in step with the increase of the current account deficit, possibly by some $ 25-$ 50 million.

Monetary policy is unlikely to be eased to the same extent as last year and domestic credit demands would be expected to become somewhat more buoyant in response to a stronger trend of domestic activity. The banks may therefore not continue to export money to the same extent as previously and might well start to repatriate their foreign short-term assets. In any case, short-term capital movements and residual items may not change sufficiently to prevent another substantial improvement in the already very strong balance on official settlements.

IV CONCLUSIONS

The past year has seen the growth of the Austrian economy falling below the growth of potential capacity. Structural factors continued to influence the situation. But a deterioration of the psychological climate and business expectations partly induced by business developments abroad appear to have been mainly responsible. Demand management policy was appropriately adjusted to counter these influences. This, combined with an improvement of the external balance associated with the slack, prevented a downturn of activity and output. The labour market was not severely affected, partly due to the declining trend of the population of working age. Nevertheless, the wage rise slowed down and the underlying trend of prices continued relatively stable. But with a moderation of the productivity advance, unit labour costs increased relative to those prevailing in the rest of OECD Europe. This, however, did not prevent Austrian exporters from gaining substantial shares of foreign markets last year partly, it is true, by lowering their profit margins.

With business conditions abroad favourable, the current year may see a more satisfactory growth of activity and output. Should this not occur it would seem necessary to consider ways and means of providing further stimulus to the economy, and in particular to business investment. The scope for action that would imply an increase of the Federal budget

deficit is, however, limited, for the underlying trend of Federal revenue and expenditure points to a deficit of hardly manageable proportions next year. It is clearly important to make certain that the deficit stays within reasonable limits in 1969, and the Government has recently proposed action to this end. It would seem desirable that this should not entail a tightening of Federal budget policy if the business climate next year should be such as to make a tightening inappropriate. The special need of business investment should be kept in mind when deciding upon the adjustments. A continued easy monetary policy should also contribute to improve the investment climate.

The balance of payments should not constitute an obstacle to further expansionary measures although these would entail an increase of the current deficit. Long-term capital imports are likely to remain high in the current year, with continued heavy Federal and other borrowing abroad, and the official gold and foreign exchange position is strong. The cost/price situation would, however, need to be closely watched, particularly in view of recent years' rises in relative Austrian labour costs. Some continued efforts in this field should help to secure a development better in line with that of other European OECD countries. A more active labour market policy designed to reduce obstacles to labour mobility and thereby facilitating productivity growth has an important role to play. Progress has been made also in this field over the past year and it is planned to intensify the policies adopted.

Structural problems have remained in the fore of the public discussion over the past year. A comprehensive programme designed to overcome various obstacles to structural adjustments was announced in February. New legislation aiming at developing the capital market was put into effect in January. It eliminates certain discriminatory features of the previous regime. But further adjustments may be needed to achieve the government aim of an efficiently functioning capital market. The development of a secondary market for bonds is particularly important and to this end the subsidization scheme for bond issues may need to be reconsidered. A change in the conservative policies and practices of the banks could also help to improve the functioning of the capital market.

It is an important objective of the Austrian Government to develop quickly a larger and better functioning capital market inter alia to permit budget deficits to be financed by more recourse to domestic sources. In the meantime it is to be hoped that the Government will utilize as fully as possible the existing opportunities for internal financing and keep foreign borrowing as low as possible, given the strains on foreign capital markets.

There may be scope for larger resort to medium- and short-term borrowing at home to finance budget deficits resulting during periods requiring an expansive demand management policy. This would permit a further step to be made in the direction of an active debt management policy and thus facilitate the conduct of a flexible budget policy. Moreover, it would add an important instrument of monetary management, appropriate to a highly developed economy.

STATISTICAL ANNEX

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Table A National Product
Bill. Schilling

	1964	1965	1966	1967	1964	1965	1966	1967
	Current prices				*1954 prices*			
EXPENDITURE:								
Private consumption	133.7	145.4	155.1	165.0	104.6	109.8	115.0	118.8
Public consumption	29.9	32.6	36.3	41.0	16.1	15.9	16.5	17.0
of which: Defence	3.4	3.0	3.5	..	..	..	..	..
Gross domestic fixed capital formation	54.9	61.5	68.0	70.2	39.1	41.0	43.9	44.1
of which: Construction	27.5	31.8	35.1		17.8	18.4	19.6	
Machinery and equipment	27.4	29.8	32.9		21.3	22.6	24.3	
Change of stocks, incl. statistical errors	3.5	3.3	8.1	4.9	4.6	4.2	5.9	4.3
Exports of goods and services	56.5	62.2	66.0	70.3	47.1	50.2	53.5	56.5
Less: Imports of goods and services	57.4	64.6	72.9	74.9	52.1	58.1	64.3	66.0
Gross national product at market prices	221.1	240.2	260.5	276.5	159.3	162.9	170.5	174.7
INDUSTRIAL ORIGIN:								
Agriculture, forestry and fishing	20.9	19.2	20.2	21.0	17.4	15.0	15.3	17.0
Manufacturing, mining and public utilities	83.7	90.1	97.2	100.9	66.6	68.6	72.0	73.0
Construction	21.5	25.6	28.4	30.2	12.4	12.8	13.6	13.8
Other	95.0	105.2	114.7	124.4	62.9	66.4	69.6	70.9
	Current prices				*Current prices, percentage distribution*			
DISTRIBUTION OF NATIONAL INCOME:								
Compensation of employees	107.1	118.4	130.7	140.2	63.8	65.2	66.8	67.5
Income from property and entrepreneurship	48.5	50.3	51.7		28.9	27.7	26.4	
Savings of corporations	7.5	7.8	8.2	67.7	4.5	4.3	4.2	32.6
Direct taxes on corporations	5.2	5.4	5.6		3.1	3.0	2.9	
Government income from property and entrepreneurship	1.5	1.7	1.9	2.3	0.9	0.9	0.9	1.1
Less: Interest on public debt	1.9	2.1	2.2	2.4	1.1	1.1	1.1	1.2
National income	167.9	181.5	195.8	207.8	100.0	100.0	100.0	100.0

Source: Oesterreichisches Institut fuer Wirtschaftsforschung.

Table B Output, Employment, Wages and Productivity in Industry
Indices 1963 = 100

		1964	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
OUTPUT IN INDUSTRY (seasonally adjusted):													
Total industry		107.8	111.9	116.5	116.5	115.3	116.7	116.4	117.6	115.8	117.6	116.1	117.3
Mining		95.6	91.2	89.7	81.7	92.7	93.4	88.0	84.7	82.3	82.3	84.1	78.4
Manufacturing		108.0	111.6	116.0	116.0	115.4	115.7	115.5	117.4	115.1	116.6	115.3	117.1
Basic metals		110.3	107.2	110.5	103.5	110.8	109.3	112.9	109.0	104.6	103.6	101.5	104.5
Metal products		107.8	112.2	112.4	112.5	113.2	111.5	110.6	114.3	110.2	114.3	110.2	115.6
Food, beverages, tobacco		101.9	104.2	115.1	116.8	111.0	115.3	114.5	119.6	113.5	120.1	120.8	114.5
Textiles		104.5	106.7	111.8	108.6	111.2	111.7	111.6	112.7	111.2	109.6	106.2	107.8
Chemicals		109.8	118.1	126.5	132.9	123.9	125.9	125.7	130.5	130.7	132.6	133.3	136.6
EMPLOYMENT:													
Seasonally adjusted		99.9	100.0	99.4	96.1	100.4	99.7	98.8	98.1	98.0	96.7	94.9	94.1
Not seasonally adjusted	(1 000)	606.2	606.9	603.6	583.4	606.2	603.4	602.5	602.3	590.7	583.8	580.1	578.9
of which: wage earners	(1 000)	493.4	490.3	483.3	461.6	487.1	483.8	481.8	480.4	468.9	462.4	458.5	456.4
Average paid work hours		99.6	98.0	98.1	97.1	99.7	98.6	94.1	99.7	99.0	97.7	92.5	99.2
WAGES AND PRODUCTIVITY:													
Gross hourly earnings per wage earner	(1965 = 100)		100	109.4	117.5	104.5	107.1	111.1	114.9	115.7	117.4	118.1	118.7
Gross monthly earnings per employee		109.2	118.9	133.1	143.3	113.7	126.4	137.3	155.3	127.2	140.8	144.3	161.1
Output per employee		108.0	111.9	117.5	121.5	111.7	120.3	112.0	125.5	114.9	125.5	116.1	130.5
Wages and salaries per unit of putput		101.1	106.3	113.3	117.9	101.7	105.1	122.6	123.7	110.7	112.2	124.3	123.4

Sources: Main Economic Indicators, OECD, Oesterreichisches Institut fuer Wirtschaftsforschung.

Table C **Retail Sales and Prices**
Indices 1958 = 100

	1964	1965	1966	1967	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV
RETAIL SALES:												
Total	158.9	171.0	179.5	187.7	154.0	171.9	175.8	216.2	164.0	176.7	184.4	225.5
Non-durables	158.0	170.1	177.7	186.1	155.1	172.0	173.5	210.3	165.0	177.0	183.5	219.0
of which: Food and drinks	161.5	175.0	183.2	192.7	166.5	183.1	181.0	202.2	175.9	190.1	193.2	211.6
Clothing	140.7	150.6	156.2	160.8	121.9	147.9	140.5	214.3	131.1	146.4	145.4	220.4
Durables	164.2	176.0	190.8	197.3	147.7	173.0	190.3	252.0	158.8	175.6	189.8	264.9
of which: Household goods and furniture	161.3	171.5	185.5	190.4	140.7	168.7	188.0	245.1	149.4	172.1	182.9	257.3
PRICES:												
Cost of living	118.8	124.7	127.4	132.5	125.7	128.0	127.5	128.5	131.3	131.6	132.9	134.0
Food, drinks, tobacco	118.7	126.9	128.5	133.4	127.1	130.7	128.2	128.0	132.5	132.7	134.3	133.8
Other	118.8	122.1	126.1	132.0	124.1	124.6	126.6	129.2	130.7	130.9	132.2	134.1
Wholesale prices (1964 = 100)	100.0	102.6	104.6	107.1	104.3	105.2	104.2	104.7	106.8	107.6	107.3	106.7
Raw materials and semi-manufactures	100.0	101.7	105.4	104.9	104.1	105.0	106.2	106.2	105.6	104.5	104.4	105.0
Finished manufactures	100.0	101.7	103.8	105.5	103.0	103.5	103.9	104.7	105.1	104.8	105.9	106.1
Building prices (in Vienna)	130.0	143.4	149.7	160.0	144.8	143.3	153.9	156.2	159.0	160.3	160.4	160.4
Labour	144.4	168.1	177.2	194.9	168.2	168.2	185.7	186.8	190.3	196.4	196.6	196.5
Building materials	116.9	120.8	124.6	128.3	123.7	120.9	125.2	128.6	130.5	127.6	127.5	127.5

Source: Oesterreichisches Institut fuer Wirtschaftsforschung.

Table D Money and Banking
End of period

	1964	1965	1966 I	1966 II	1966 III	1966 IV	1967 I	1967 II	1967 III	1967 IV	1968[1] I
INTEREST RATES *(percent)* :											
Discount rate	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.25	4.25	3.75	3.75
Federal bonds[2]	6.3	6.6	6.7	6.9	7.1	7.1	7.1	7.3	7.2	7.6	7.8
Electric power company bonds[2]	6.4	6.6	6.6	6.8	7.0	7.0	7.0	7.0	7.1	7.5	7.5
Mortgage bonds[2]	6.2	6.2	6.2	6.2	6.2	6.2	6.2	6.2	6.2	6.2	6.3
MONEY CIRCULATION AND EXTERNAL RESERVES *(Sch. bill.)* :											
Notes and coins in circulation	27.7	29.8	28.9	31.6	32.0	32.0	31.1	33.6	33.5	33.8	32.5
Sight liabilities of the National Bank	12.7	11.5	11.0	10.5	12.5	11.8	13.2	12.4	12.5	13.5	12.3
Gross external reserves of the National Bank	32.2	32.1	29.8	30.4	31.7	31.8	31.9	32.7	34.1	35.4	32.2
of which: gold	15.5	18.0	18.0	18.0	18.0	18.1	18.1	18.1	18.1	18.1	18.1
CREDIT INSTITUTIONS *(Sch. bill.)* :											
Credits to domestic non-banks,	75.2	89.0		96.8		103.5		109.7		113.1	
short-term	28.7	33.5		36.5		38.4		40.2		39.6	
medium-term (1 to 5 years)	15.8	18.1		20.3		21.8		23.4		23.7	
long-term	30.7	37.5		40.0		43.3		46.1		50.0	
Deposits from domestic non-banks	90.6	103.1	106.9	108.6	111.0	114.2	117.5	118.9	123.2	126.4	129.7
sight	21.2	23.5	23.9	24.2	24.6	23.7	23.8	24.0	25.6	25.7	26.2
time	10.1	11.1	11.8	12.0	11.9	12.0	12.6	12.8	13.1	13.1	13.8
savings	59.2	68.5	71.3	72.4	74.5	78.5	81.0	82.1	84.5	87.6	89.7
Holdings of domestic Treasury bills	2.9	3.3	3.6	3.8	2.9	2.7	3.2	3.0	3.7	3.8	5.2
Holdings of other domestic securities	16.9	19.3	19.4	20.3	20.5	21.4	21.2	21.8	21.9	22.9	22.9
Foreign assets	4.4	5.8	5.5	6.0	6.2	7.3	7.3	8.3	10.2	10.5	12.3
Foreign liabilities	4.4	7.3	6.3	7.8	7.4	8.9	8.8	9.6	8.7	11.2	8.9

1 End February or mid-March.
2 Average effective yields on circulating issues.
Sources: Oesterreichische National bank and Oesterreichische Laenderbank.

Table E **The Federal Budget**
Administrative basis
Sch. billion

	Closed account 1965	Closed account 1966	Provisional results 1967	Voted budget 1965	Voted budget 1966	Voted budget 1967	Voted budget 1968[1]
REVENUE:							
Taxes and dues	41.9	46.6	47.9	43.7	46.6	50.2	52.8
Income from Federal monopolies and enterprises	14.8	15.6	17.3	14.6	15.8	18.1	17.8
Tranfers from abroad	0.6	0.6	0.2	0.6	0.6	0.1	0.1
Transfers from reserves	0.0	0.5	0.4				
Other	5.4	5.3	6.5	4.9	5.3	6.6	6.9
Total	62.7	68.6	72.3	63.8	68.3	75.0	77.6
EXPENDITURE:							
Wages and salaries	16.5	18.3	20.9	15.8	18.5	20.0	22.3
Subsidies and transfers	23.0	25.5	27.6	22.8	25.5	26.8	29.2
Gross investment	7.3	7.6	9.3	7.7	7.3	9.3	9.1
Investment promotion	1.7	1.9	2.1	1.7	1.6	2.2	1.8
Debt repayment	2.9	2.7	2.6	2.8	2.5	3.2	3.4
Purchases from, and payments to, abroad	0.5	0.8	0.8	0.8	0.4	0.8	0.4
Transfers to reserves	0.6	0.4	0.6				
Other	14.1	15.1	16.1	15.2	15.0	16.4	18.4
Total	66.6	72.3	80.0	66.8	70.8	78.7	84.6
Overall deficit	3.9	3.7	7.7	3.0	2.5	3.7	7.0
Overall deficit excl. debt repayment	1.0	1.0	5.1	0.2	—	0.5	3.6
Internally effective overall deficit[2]	0.5	0.9	4.3	0.7	0.2	–0.2	3.3

1 Excluding the contingency budget which provides for expenditure of Sch. 2.4 billion.
2 Overall deficit less debt repayment, purchases abroad and net transfers to abroad, net transfers to reserves.
Source: Bundesfinanzministerium.

Table F **Merchandise Trade by Commodity Group and Area**
Monthly averages, million Schillings

	Imports				Exports			
	1964	1965	1966	1967	1964	1965	1966	1967
Total	4 036	4 551	5 043	5 004	3 133	3 467	3 647	3 919
BY COMMODITY GROUP:								
Food, drinks, tobacco	502	622	646	577	141	182	166	222
Raw materials	472	494	518	422	430	454	440	429
Mineral fuels, energy	355	335	355	349	92	113	123	123
Chemicals	352	394	443	489	147	167	196	230
Machinery and transport equipment	1 204	1 393	1 563	1 556	640	707	735	827
Other	1 151	1 313	1 517	1 611	1 683	1 844	1 987	2 088
BY AREA:								
OECD countries	3 252	3 670	4 092	4 113	2 292	2 503	2 645	2 766
EEC countries	2 374	2 694	2 963	2 929	1 488	1 618	1 628	1 594
Germany	1 685	1 901	2 138	2 085	872	992	976	870
Italy	301	376	381	393	385	373	393	465
France	184	190	207	202	77	77	80	88
EFTA countries	580	670	789	897	577	609	702	846
UK	215	249	289	301	141	135	154	218
Switzerland	219	252	302	366	246	259	296	339
USA	209	200	219	175	125	145	168	168
Other OECD countries	89	106	121	112	102	131	147	158
Non-OECD countries	785	881	950	891	837	964	1 002	1 151
Eastern Block countries	437	501	503	471	467	533	572	665
Africa	69	75	66	60	44	54	62	66
Latin America	103	121	137	119	51	55	57	62
Far and Middle East	66	72	80	75	119	152	142	146
Other	110	111	164	156	156	170	169	212
Index of volume (1963 = 100)	113	127	139	140	106	114	122	132
Index of average value (1962 = 100)	98	99	100	98	102	105	103	103

Source: Statistics of Foreign Trade, OECD Main Economic Indicators, OECD.

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